plant closed, and then subjected it to a five-week inspection and decontamination. As embarrassing as the contamination and delay were, Genzyme's troubles were just getting started. The five-week closure revealed problems with the stocking process for Genzyme's most important drugs. Genzyme had very little of the life-saving drugs in inventory, and the closure led to severe shortages. Stocks of *Cerezyme* and *Fabrazyme*, both used to treat rare genetic diseases, ran dry, leaving patients without the medicine they desperately needed. In *Cerezyme*, Genzyme had the only treatment for *Gaucher's* disease, a monopoly worth $1.25 billion annually.[2] To ensure supply, regulators allowed two of Genzyme's competitors to rush onto the market alternatives to *Cerezyme*, and its valuable monopoly was lost. The company also had to write off the value of its inventory in *Cerezyme*.[3] The source of the viral contamination was never identified.[4]

The aftershocks of the contamination extended beyond the end of the shutdown. In September the FDA rejected Genzyme's application for *Clolar*, a drug intended to treat leukemia, and in November finally rejected its application for *Lumizyme*. Genzyme also dropped a third candidate in November, a kidney drug that had failed to perform in Phase 3 of development. Just as the company was looking to put behind it the worst operational crisis in its history, a new, larger contamination was discovered. Doctors had found vials of some of the drugs coming out of the Allston Landing plant contained visible particles.[5] The particles were determined to be bits of steel, rubber, and fiber, remnants of old equipment and a sloppy manufacturing process.[6] The new contamination affected five of Genzyme's drugs, representing almost half of Genzyme's $4.6 billion in annual revenues.[7] CBS's Jim Edwards commented on *MoneyWatch*, "Genzyme could sure use some adult supervision right now."[8]

The crises hit Genzyme's business hard. In January 2009, the company had forecast earnings of $4.70 a share for the year, up from $4.01 a share in 2008.[9] As the contaminations came to light and the supplies of life-saving drugs ran dry, it was forced to cut its earnings and revenue forecasts four separate times. Finally, the company announced it expected earnings in 2009 to be down 43 percent from 2008, at $2.27 a share.[10] Genzyme's stock took a hit, tumbling 40 percent from its high of $80 per share to $48, its lowest level in five years. The stock lagged all of its large-capitalization biotechnology competitors in the NYSE Arca Biotech Index, which had risen 46 percent over the year.[11] Meanwhile, Genzyme's CEO Henri Termeer had a very good year, earning $35 million.[12] For his "epic mismanagement," *The Street* named him the Worst Biotechnology CEO of 2009.[13]

Shareholder anger was palpable. The contaminations, manufacturing shutdown, and the shortages were evidence, several claimed, that management had neglected Genzyme's best assets, underinvesting in its highly successful rare-disease business, while diversifying through acquisition into